

COOPERATIVE SOCIETIES

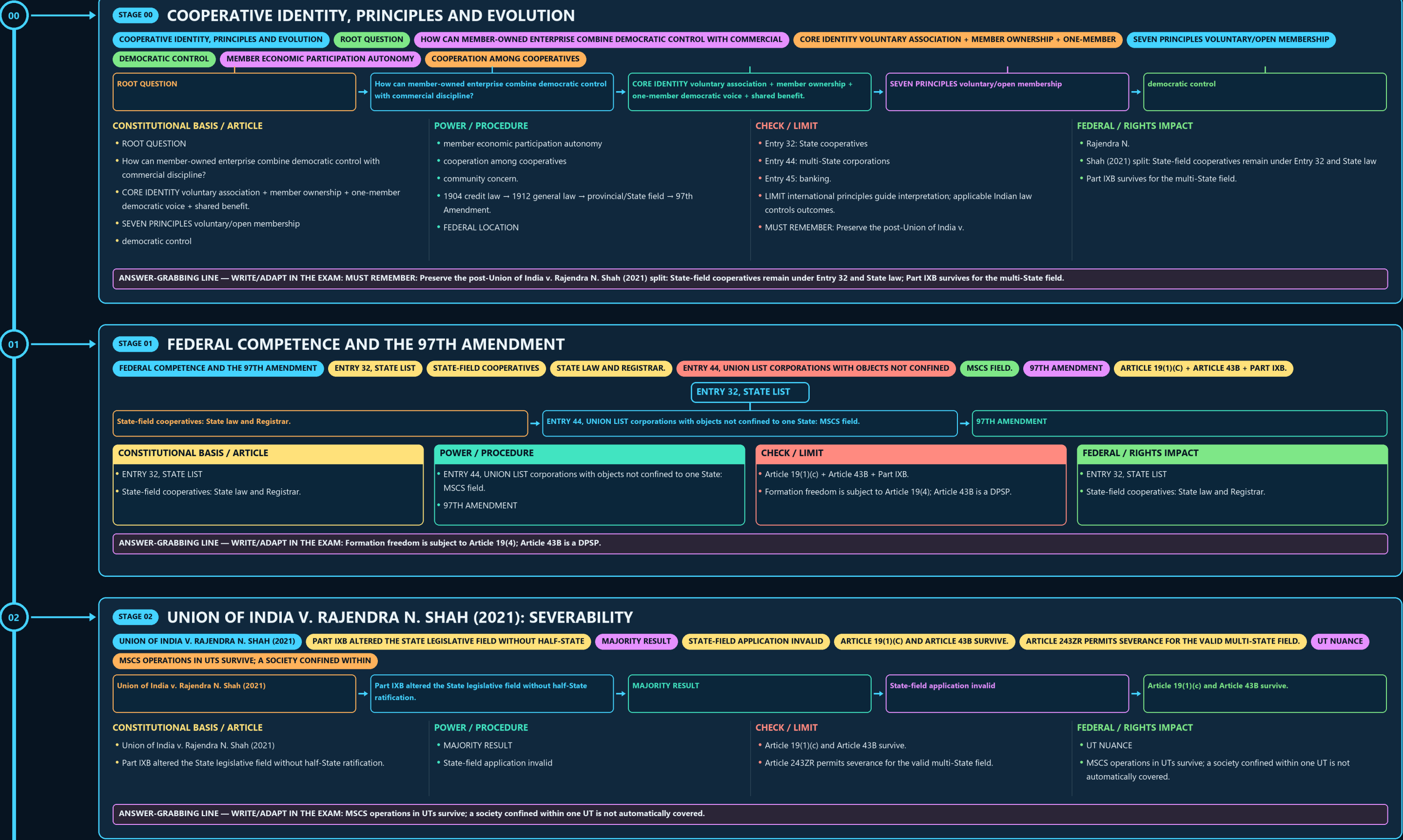
COOPERATIVE IDENTITY, PRINCIPLES AND → FEDERAL COMPETENCE AND THE → UNION OF INDIA V. → PART IXB BOARD AND → SUPERSESSON, AUDIT AND RETURNS → STATE SOCIETIES AND MULTI-STATE

Read the thick cyan rail from Stage 00 to the final core synthesis. Each card uses a concept-appropriate structure; the grey E card is optional enrichment only and never repairs missing core content.

PRIMARY CORE FLOW SUBORDINATE EXTRA APPROVAL / REVIEW

Approval: FALSE • Pending user review • source generation g6 and all prior artifacts unchanged

CORE BEFORE EXTRA • prior artefacts unchanged • exact same master drives poster and tiles



02

STAGE 02

UNION OF INDIA V. RAJENDRA N. SHAH (2021): SEVERABILITY

UNION OF INDIA V. RAJENDRA N. SHAH (2021)

PART IXB ALTERED THE STATE LEGISLATIVE FIELD WITHOUT HALF-STATE

MAJORITY RESULT

STATE-FIELD APPLICATION INVALID

ARTICLE 19(1)(C) AND ARTICLE 43B SURVIVE.

ARTICLE 243ZR PERMITS SEVERANCE FOR THE VALID MULTI-STATE FIELD.

UT NUANCE

MSCS OPERATIONS IN UTS SURVIVE; A SOCIETY CONFINED WITHIN

Union of India v. Rajendra N. Shah (2021)

→

Part IXB altered the State legislative field without half-State ratification.

→

MAJORITY RESULT

→

State-field application invalid

→

Article 19(1)(c) and Article 43B survive.

CONSTITUTIONAL BASIS / ARTICLE

- Union of India v. Rajendra N. Shah (2021)
- Part IXB altered the State legislative field without half-State ratification.

POWER / PROCEDURE

- MAJORITY RESULT
- State-field application invalid

CHECK / LIMIT

- Article 19(1)(c) and Article 43B survive.
- Article 243ZR permits severance for the valid multi-State field.

FEDERAL / RIGHTS IMPACT

- UT NUANCE
- MSCS operations in UTs survive; a society confined within one UT is not automatically covered.

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: MSCS operations in UTs survive; a society confined within one UT is not automatically covered.

03

STAGE 03

PART IXB BOARD AND ELECTION DESIGN

PART IXB BOARD AND ELECTION DESIGN

243ZJ MAXIMUM TWENTY-ONE DIRECTORS

FIVE-YEAR TERM

CONDITIONAL RESERVED SEATS LIMITED EXPERT CO-OPTION

FUNCTIONAL DIRECTORS SEPARATELY TREATED.

243ZK ELECTION BEFORE TERM EXPIRY; VACANCY ELECTION WITHIN STATUTORY

THESE RULES NOW OPERATE ONLY IN THE CONSTITUTIONALLY VALID

CONSTITUTIONAL BASIS / ARTICLE	POWER / PROCEDURE	CHECK / LIMIT	FEDERAL / RIGHTS IMPACT
243ZJ maximum twenty-one directors	conditional reserved seats limited expert co-option	243ZK election before term expiry; vacancy election within statutory period.	243ZJ maximum twenty-one directors
five-year term	functional directors separately treated.	These rules now operate only in the constitutionally valid multi-State field.	five-year term

CONSTITUTIONAL BASIS / ARTICLE

- 243ZJ maximum twenty-one directors
- five-year term

POWER / PROCEDURE

- conditional reserved seats limited expert co-option
- functional directors separately treated.

CHECK / LIMIT

- 243ZK election before term expiry; vacancy election within statutory period.
- These rules now operate only in the constitutionally valid multi-State field.

FEDERAL / RIGHTS IMPACT

- 243ZJ maximum twenty-one directors
- five-year term

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: These rules now operate only in the constitutionally valid multi-State field.

04

STAGE 04

SUPERSESSON, AUDIT AND RETURNS

SUPERSESSON, AUDIT AND RETURNS

243ZL LIMITED GROUNDS

ORDINARILY SIX MONTHS

BANKING COOPERATIVE CEILING DIFFERS.

NO SUPERSESSON WHERE NO GOVERNMENT SHARE, LOAN, AID OR

243ZM AUDIT WITHIN SIX MONTHS.

243ZN-243ZP MEETINGS, MEMBER INFORMATION AND RETURNS WITHIN STATUTORY CLOCKS.

243ZQ IDENTIFIES OFFENCE FAMILIES.

CONSTITUTIONAL BASIS / ARTICLE

- 243ZL limited grounds
- ordinarily six months

POWER / PROCEDURE

- banking cooperative ceiling differs.
- No supersession where no government share, loan, aid or guarantee.

CHECK / LIMIT

- 243ZM audit within six months.
- 243ZN-243ZP meetings, member information and returns within statutory clocks.

FEDERAL / RIGHTS IMPACT

- 243ZQ identifies offence families.
- 243ZL limited grounds

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: 243ZN-243ZP meetings, member information and returns within statutory clocks.

05

STAGE 05

STATE SOCIETIES AND MULTI-STATE SOCIETIES

STATE SOCIETIES AND MULTI-STATE SOCIETIES

STATE-FIELD SOCIETY

ENTRY 32

STATE ACT/RULES/BYE-LAWS

STATE REGISTRAR.

MULTI-STATE COOPERATIVE SOCIETY

ENTRY 44

MSCS ACT 2002

Entry 32	State Act/rules/bye-laws	State Registrar.	
Entry 44	MSCS Act 2002	Central Registrar	surviving Part IXB field.

CONSTITUTIONAL BASIS / ARTICLE

- STATE-FIELD SOCIETY
- Entry 32
- State Act/rules/bye-laws

POWER / PROCEDURE

- State Registrar.
- MULTI-STATE COOPERATIVE SOCIETY
- Entry 44

CHECK / LIMIT

- MSCS Act 2002
- Central Registrar
- surviving Part IXB field.

FEDERAL / RIGHTS IMPACT

- TRAP operating in several districts is not the same as statutory multi-State status.
- CLOSE DISTINCTION: Do not merge the Ministry, CRCS, Election Authority, Ombudsman, RBI,
- NABARD, representative federations or operating cooperative societies.

COOPERATIVE SOCIETIES • TILE 2/5 • same master rows 2284-5518 of 12368 • continues below

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: 243ZN-243ZP meetings, member information and returns within statutory clocks.

05

STAGE 05 STATE SOCIETIES AND MULTI-STATE SOCIETIES

STATE SOCIETIES AND MULTI-STATE SOCIETIES

STATE-FIELD SOCIETY

ENTRY 32

STATE ACT/RULES/BYE-LAWS

STATE REGISTRAR.

MULTI-STATE COOPERATIVE SOCIETY

ENTRY 44

MSCS ACT 2002

Entry 32

State Act/rules/bye-laws

State Registrar.

Entry 44

MSCS Act 2002

Central Registrar

surviving Part IXB field.

CONSTITUTIONAL BASIS / ARTICLE

- STATE-FIELD SOCIETY
- Entry 32
- State Act/rules/bye-laws

POWER / PROCEDURE

- State Registrar.
- MULTI-STATE COOPERATIVE SOCIETY
- Entry 44

CHECK / LIMIT

- MSCS Act 2002
- Central Registrar
- surviving Part IXB field.

FEDERAL / RIGHTS IMPACT

- TRAP operating in several districts is not the same as statutory multi-State status.
- CLOSE DISTINCTION: Do not merge the Ministry, CRCS, Election Authority, Ombudsman, RBI,
- NABARD, representative federations or operating cooperative societies.

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: TRAP operating in several districts is not the same as statutory multi-State status.

06

STAGE 06 MSCS AMENDMENT 2023 INSTITUTIONS

MSCS AMENDMENT 2023 INSTITUTIONS

CO-OPERATIVE ELECTION AUTHORITY CONDUCTS BOARD ELECTIONS UNDER THE AMENDED

CO-OPERATIVE OMBUDSMAN MEMBER GRIEVANCE AND APPEAL FUNCTIONS.

CO-OPERATIVE INFORMATION OFFICER MEMBER INFORMATION ROUTE WITH REASONED RESPONSE.

OTHER CONTROLS CONCURRENT AUDIT

CONFLICT RULES

REHABILITATION, RECONSTRUCTION AND DEVELOPMENT FUND.

CO-OPERATIVE ELECTION AUTHORITY conducts board elections under the amended statute.

CO-OPERATIVE OMBUDSMAN member grievance and appeal functions.

CO-OPERATIVE INFORMATION OFFICER member information route with reasoned response.

OTHER CONTROLS concurrent audit

CONSTITUTIONAL BASIS / ARTICLE

- CO-OPERATIVE ELECTION AUTHORITY conducts board elections under the amended statute.
- CO-OPERATIVE OMBUDSMAN member grievance and appeal functions.

POWER / PROCEDURE

- CO-OPERATIVE INFORMATION OFFICER member information route with reasoned response.
- OTHER CONTROLS concurrent audit

CHECK / LIMIT

- conflict rules
- rehabilitation, reconstruction and development fund.

FEDERAL / RIGHTS IMPACT

- CO-OPERATIVE ELECTION AUTHORITY conducts board elections under the amended statute.
- CO-OPERATIVE OMBUDSMAN member grievance and appeal functions.

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: OTHER CONTROLS concurrent audit | conflict rules | rehabilitation, reconstruction and development fund.

07

STAGE 07 MINISTRY, CENTRAL REGISTRAR AND POLICY BOUNDARY

MINISTRY, CENTRAL REGISTRAR AND POLICY BOUNDARY

MINISTRY OF COOPERATION EXECUTIVE-POLICY COORDINATION; DOES NOT TRANSFER ENTRY

CENTRAL REGISTRAR REGISTRATION, REGULATION AND WINDING-UP FUNCTIONS UNDER THE

CRCS INSTITUTIONS

ELECTION AUTHORITY AND OMBUDSMAN PUBLISH CURRENT OFFICIAL PROCESSES.

USE DATED OFFICIAL DATA; DO NOT FREEZE DASHBOARD COUNTS.

CURRENT POLICY CONTROL

5 SEPTEMBER 2026

MINISTRY OF COOPERATION executive-policy coordination; does not transfer Entry 32 competence.

CENTRAL REGISTRAR registration, regulation and winding-up functions under the MSCS Act.

CRCS INSTITUTIONS

Election Authority and Ombudsman publish current official processes.

CONSTITUTIONAL BASIS / ARTICLE

- MINISTRY OF COOPERATION executive-policy coordination; does not transfer Entry 32 competence.
- CENTRAL REGISTRAR registration, regulation and winding-up functions under the MSCS Act.

POWER / PROCEDURE

- CRCS INSTITUTIONS
- Election Authority and Ombudsman publish current official processes.

CHECK / LIMIT

- Use dated official data; do not freeze dashboard counts.
- CURRENT POLICY CONTROL: 5 SEPTEMBER 2026

FEDERAL / RIGHTS IMPACT

- National Cooperation Policy 2025 was launched on 24 July 2025.
- Its governance, professionalisation, digital, market, finance and inclusion programme is policy; Entry 32 and State-law variation remain.

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: Its governance, professionalisation, digital, market, finance and inclusion programme is policy; Entry 32 and State-law variation remain.

08

STAGE 08 COOPERATIVE BANKING REGULATION

COOPERATIVE BANKING REGULATION

UNION POLICY/ALLOCATED BUSINESS.

MSCS STATUTORY ADMINISTRATION.

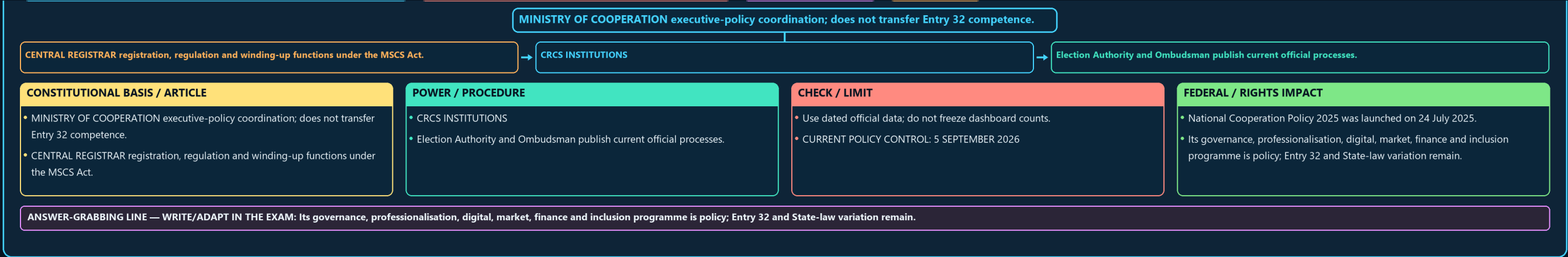
STATE REGISTRAR

STATE-LAW ADMINISTRATION.

STATUTORY DEVELOPMENT FINANCE.

NCUI/REPRESENTATIVE BODY

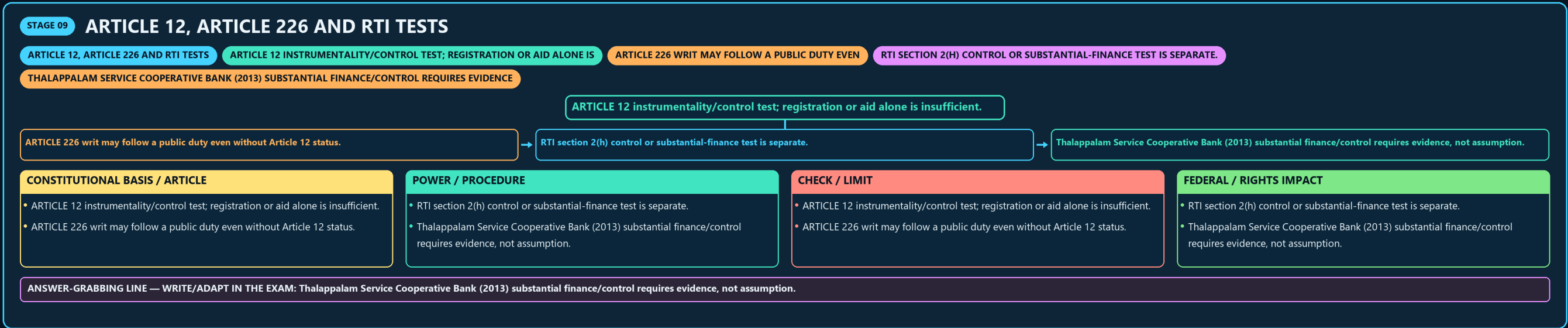
ADVOCACY, EDUCATION AND COORDINATION.



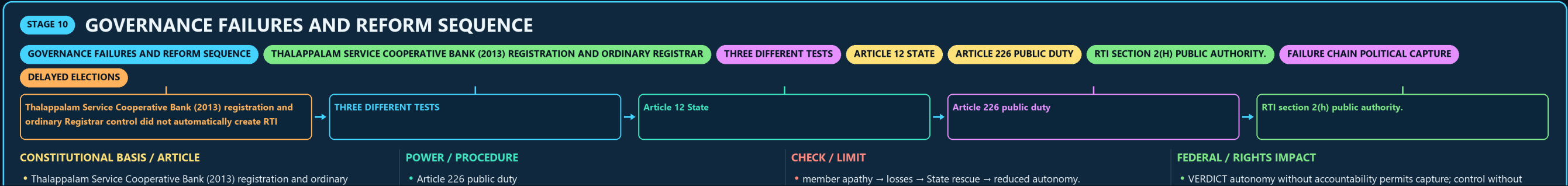
08



09



10



CONSTITUTIONAL BASIS / ARTICLE

- ARTICLE 12 instrumentality/control test; registration or aid alone is insufficient.
- ARTICLE 226 writ may follow a public duty even without Article 12 status.

POWER / PROCEDURE

- RTI section 2(h) control or substantial-finance test is separate.
- Thalappalam Service Cooperative Bank (2013) substantial finance/control requires evidence, not assumption.

CHECK / LIMIT

- ARTICLE 12 instrumentality/control test; registration or aid alone is insufficient.
- ARTICLE 226 writ may follow a public duty even without Article 12 status.

FEDERAL / RIGHTS IMPACT

- RTI section 2(h) control or substantial-finance test is separate.
- Thalappalam Service Cooperative Bank (2013) substantial finance/control requires evidence, not assumption.

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: Thalappalam Service Cooperative Bank (2013) substantial finance/control requires evidence, not assumption.

10

STAGE 10 GOVERNANCE FAILURES AND REFORM SEQUENCE

GOVERNANCE FAILURES AND REFORM SEQUENCE THALAPPALAM SERVICE COOPERATIVE BANK (2013) REGISTRATION AND ORDINARY REGISTRAR THREE DIFFERENT TESTS ARTICLE 12 STATE ARTICLE 226 PUBLIC DUTY RTI SECTION 2(H) PUBLIC AUTHORITY. FAILURE CHAIN POLITICAL CAPTURE

DELAYED ELECTIONS

Thalappalam Service Cooperative Bank (2013) registration and ordinary Registrar control did not automatically create RTI

THREE DIFFERENT TESTS

Article 12 State

Article 226 public duty

RTI section 2(h) public authority.

CONSTITUTIONAL BASIS / ARTICLE

- Thalappalam Service Cooperative Bank (2013) registration and ordinary Registrar control did not automatically create RTI public authority.
- THREE DIFFERENT TESTS
- Article 12 State

POWER / PROCEDURE

- Article 226 public duty
- RTI section 2(h) public authority.
- FAILURE CHAIN political capture → delayed elections → weak audit → connected lending

CHECK / LIMIT

- member apathy → losses → State rescue → reduced autonomy.
- REFORM CHAIN timely elections + fit expertise + independent audit + member information
- digital but inclusive records + regulator coordination + proportionate intervention.

FEDERAL / RIGHTS IMPACT

- VERDICT autonomy without accountability permits capture; control without autonomy kills cooperation.

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: VERDICT autonomy without accountability permits capture; control without autonomy kills cooperation.

11

STAGE 11 UPSC TRAPS, PYQS AND ANSWER SYNTHESIS

UPSC TRAPS, PYQS AND ANSWER SYNTHESIS PRELIMS FIREWALL PART IXB NOT UNIFORM FOR ALL STATE COOPERATIVES ARTICLE 43B IS DPSP RIGHT TO FORM RIGHT TO STATE AID ENTRY 32 ENTRY 44 EVERY GOVERNANCE FUNCTION SCHEDULED CONSTITUTIONAL TEXT

PRELIMS FIREWALL

Part IXB not uniform for all State cooperatives

Article 43B is DPSP right to form != right to State aid

Entry 32 != Entry 44

Ministry != Registrar

CONSTITUTIONAL BASIS / ARTICLE

- PRELIMS FIREWALL
- Part IXB not uniform for all State cooperatives
- Article 43B is DPSP right to form != right to State aid
- Entry 32 != Entry 44
- Ministry != Registrar

POWER / PROCEDURE

- RBI != every governance function scheduled constitutional text != enforceable State-field command after 2021.
- ADJACENT VERIFIED ROUTES
- 2020 DCCB
- 2021 UCB
- 2023 Small Farmer Large Field.

CHECK / LIMIT

- They remain Economy/agriculture routes, not invented direct Polity PYQs.
- MAINS SPINE identity/principles → federal competence → 97th Amendment
- Union of India v. Rajendra N. Shah (2021) → State/MSCS regimes → 2023 accountability
- banking coordination → member-centric professionalisation.
- CONCLUSION valid reform is cooperative in both enterprise form and federal method.

FEDERAL / RIGHTS IMPACT

- LEGAL/SOURCE LIMIT: The MSCS Amendment Act and Rules, 2023 remain operative; National
- Cooperation Policy 2025 is policy, not a transfer of legislative competence.

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: CONCLUSION valid reform is cooperative in both enterprise form and federal method.

E

EXTRA SUBORDINATE ENRICHMENT — ONLY AFTER THE COMPLETE CORE

OPTIONAL ADVANCED ENRICHMENT KEY FEATURES OF PART IX-B CAUTION (EXAM-RELEVANT DETAIL) UPSC TRAPS CA HOOKS (OFFICIAL/COURT-VERIFIED) MAINS ANGLES PARLIAMENT LEGISLATES FOR MULTI-STATE CO-OPERATIVES; STATE LEGISLATURES FOR OTHER

BOARD MEMBERS MAX 21 ; FIXED 5-YEAR TERM FOR

OPTIONAL DOCTRINE / CASE

- Key features of Part IX-B CAUTION: (exam-relevant detail)
- UPSC Traps
- CA hooks (official/court-verified)
- Mains angles

ADVANCED LIMIT

- Parliament legislates for multi-state co-operatives; State Legislatures for other co-operatives.
- Board members max 21 ; fixed 5-year term for board & office-bearers.
- Reservation — one SC/ST and two women seats where the society's individual
- Audit within six months

COMPARATIVE NUANCE

- supersession ordinarily cannot exceed six months, while a cooperative carrying on banking business has the separate constitutional ceiling.
- No supersession applies under the Part IXB text where there is no government shareholding, loan, financial assistance or guarantee.
- Members' right to information about the society.
- BUT Part IX-B survives for MULTI-STATE co-operative societies (and UTs) — the Court applied the

OPTIONAL STATUS — This optional depth is unnecessary for a competent core answer; use it only for added nuance after the complete core has been written.